

perfect trade, and so you can see what the difference is between a perfect trade and real-world results.

I researched how the pattern behaved as we came out of the 2009 bear market. Stocks doubled in price, and that's as far as they got. Now, in mid-2020, I see the same pattern. I see dozens of high, tight flags where price has doubled from the March 2020 low, which are now failing to climb. With some, it's too soon to see where the ultimate high is. With others, price rises by a few percent and then collapses.

- Lesson: After bear markets, you'll see lots of high, tight flags that fail to breakout upward, or if they do, the rise is meager.

I conducted a study of the slope of the inbound price trend in the month or two before the start of the high, tight flag. I found that if the slope was shallow, either up or down, performance was good. If the inbound trend over that month or two was steep, either steep up or steep down, then performance was bad. The best combination was a shallow drop over 1 month leading to the start of the flagpole. In second place, just one percentage point behind in performance, was a 1-month shallow up move leading to the start of the flagpole.

In other words, a shallow inbound price trend leading to the bottom of the flagpole is good. You'll want to avoid steep inbound price trends. What we're seeing now in the markets after a steep plunge in the market indices is many high, tight flags that fail to perform as expected. They have a steep inbound price trend.

- Lesson: Avoid trading a high, tight flag that has a steep inbound price trend leading to the start of the flagpole. A shallow drop of 1 month leading to the start of the flagpole is best.

Sample Trade

When John spotted the high, tight flag shown in [Figure 35.4](#), he wasted no time in taking a position, buying when price pierced the upper trendline at point A. He placed a stop 13 cents below the formation low at 5.63. Two days later, he was stopped out.